Lula’s re-election: the real falls 9% and markets stop expecting rate cuts

Published 27 October 2026 · market data through 26 October

Lula won the runoff on 25 October. On the next trading day the dollar rose 9.2% against the real, and interest-rate markets went from expecting cuts to expecting hikes. I had no position going into the vote. The next thing I am watching is the central bank’s decision on 4 November.

Lula was re-elected on 25 October with 51.79% of valid votes. He had come second in the first round (47.1% for Flávio Bolsonaro, 45.0% for Lula), and every runoff since 1989 had been won by the first-round leader. During October the market had positioned for a Bolsonaro win. Monday 26 Oct was the first session after the result.

Main market moves

Market	Fri 23 Oct	Mon 26 Oct	Change
USD/BRL (PTAX)	5.0374	5.5003	+9.2%
DI rate, January 2028	12.86%	14.80%	+194 bp
Ibovespa	205,083	176,608	−13.9%
U.S. 2-year Treasury yield	4.69%	4.68%	−1 bp

PTAX and the Treasury yield are official data. The DI rate and the Ibovespa are B3 figures as reported in the press; the Monday DI figure is a late-afternoon quote. Trading on B3 was halted for a while after the Ibovespa’s fall triggered a circuit breaker.

What I would do

No currency position. The buy-the-real idea from 6 October was dropped on 26 Oct, the first day it could have been entered, because PTAX closed at 5.5003, above the 5.30 limit set at the time. On rates, I think the Copom has finished cutting, but I won’t take a position before its meeting on 4 November. If it holds the Selic instead of raising it, and the government keeps its 2027 budget target, I think 14.80% on the January 2028 DI is too high. I would then look at receiving that rate (a position that gains if it falls), with entry and exit levels written down first.

What would change my mind

If the Copom raises the Selic, or the 2027 budget target is loosened, the higher rates are justified and I would not receive. If it cuts, I would expect the real to weaken further. On the currency, a cheaper real is not enough on its own; I would need new, dated levels and a reason to expect better fiscal news.

The real

PTAX went from 5.0374 to 5.5003 (+9.2%). In the series since 2002, only 8 October 2008 had a larger one-day rise. The real lost all of its gain since the first round, and the dollar ended 5.3% above its level before the first round (5.2235). The first-round result had moved it 4.6% the other way, so the reaction to the bad news was about twice as large. Two caveats on the figure. PTAX is an average of four fixings between 10:00 and 13:00, and the dollar briefly went above R$5.60 that morning; the spot close was 5.4029 (+8.2%). PTAX was about 5.33 on 27 October (press figure). The Treasury cancelled the week’s fixed-rate and inflation-linked auctions and bought back bonds. The central bank said it would only intervene in the currency market if trading became disorderly.

Interest rates

On Friday the January 2028 DI (at 12.86%) was 0.3 pp above the Selic path in the 23 Oct Focus survey. That path has 50 bp of cuts to 13.25% by December and 11.75% by the end of 2027, which averages about 12.5% up to the contract date. On Monday the contract traded around 14.80%, 2.3 pp above the same path and above the current 13.75% Selic. The January 2029 and 2031 contracts settled at 15.22% and 15.28%. At the short end, the January 2027 contract settled at 13.70%, slightly above the 13.65% overnight rate, so no further cut is priced for this year; the economists’ path implies 13.4%. The gap is either rate hikes that economists have not yet forecast or a higher risk premium. Prices alone can’t separate the two. The Copom decision and the next Focus surveys should help.

Why I think the cause is fiscal

No economic data changed over the weekend. What changed was the expected policy mix, since investors had positioned for a government that would tighten fiscal policy. The 2027 budget bill projects a primary surplus of R$18.6 bn, while the Senate’s Independent Fiscal Institution projects a deficit of R$86.1 bn. With Lula staying in office, that difference is the main question for investors. Inflation also limits how far the central bank can ignore a weaker real: the Focus median is 5.2% for 2026, above the 4.5% ceiling of the target range, and 4.3% for 2027, against a 3% target. That is why I think the

cutting cycle is over. I would expect the risk premium to fall only on concrete fiscal news, such as a credible 2027 target, the budget vote or the make-up of the economic team.

Exporters

At unchanged dollar prices, a 9.2% rise in the dollar raises an exporter's revenue in reais by the same amount, which reverses the loss after the first round. A producer who hedged dollar receipts after the first round, around 4.99, did not get this gain; that is what the hedge was for. The Brent data I use stop on 20 October, so I have nothing to say about oil since the vote yet.

What I will do after the Copom meeting

If the Copom…	Interpretation	Action
holds the Selic with hawkish guidance, and the 2027 budget target is confirmed	The curve priced too many hikes; part of Monday's move was risk premium	Prepare to receive the January 2028 DI, with entry and exit levels set in advance
raises the Selic, or the budget target is loosened	The hikes or the premium are justified	No position; the real is likely to stay weak
cuts the Selic	The central bank's credibility becomes the issue	No position; a weaker real and a steeper curve become more likely

Coming up: the Fed on 28 October, the Copom on 4 November, and both again on 9 December. The weekly Focus survey will show whether economists move their forecasts toward market prices.

How my risk models did

On Friday my three one-day 99% VaR models (from the risk study further down) estimated that a long-real position would lose more than 1.6% to 2.6% on only one day in a hundred. Monday's loss was 8.4%, 3 to 5 times larger. The models are fitted on ordinary days and do not capture an election result. That is why I held no position before the vote instead of relying on a stop-loss, which the price would have jumped past.

Review of earlier calls

What I said	What happened	Verdict
6 Oct: no entry before the runoff, because a single session can jump past every level.	The dollar rose 9.2% on the first day an entry was allowed, well above the 5.30 limit, so the idea was dropped without a trade.	Confirmed
16 Oct: carry would not cover an election move; the first round had been worth about 6 months of it.	The runoff moved the real by about 12 months of carry in one session.	Confirmed
16 Oct: the bond market was more worried about inflation than the currency market (breakeven inflation 5.27% → 5.54%, while the real kept 72% of its gain).	The bond market was the better signal. I noted the difference but did not draw a conclusion about the risk from it.	Partly
16 Oct: three scenarios for after the runoff, one of them a shock from U.S. rates.	I had no scenario for a Brazil-specific shock with U.S. rates falling, which is what happened.	Missed

What I am changing. Before the vote, prices implied a Bolsonaro win while the polls showed a tie. That difference was my main reason for staying out, more than any view on who would win. From now on my scenario tables will include the outcome that prices are not reflecting.

Sources and dates

TSE (25 Oct) · BCB (26 Oct) · U.S. Treasury (26 Oct) · BCB (23 Oct) · BCB (17 Sep) · Senate IFI (17 Sep) · CNN Brasil (26 Oct) · ISTOÉ Dinheiro (27 Oct) · Times Brasil (23 Oct) · InfoMoney (26 Oct) · Seu Dinheiro (26 Oct) · InfoMoney (27 Oct) · InfoMoney (26 Oct) · Jornal de Brasília (27 Oct) · Jornal de Brasília (27 Oct) · Forbes Brasil (23 Oct) · BCB (27 Oct)

Frozen on the publication date. PTAX, Treasury yields, the Focus survey and the Selic come from official feeds, and the vote count from the electoral court (TSE). DI rates, the Ibovespa, the spot close, the 27 October PTAX and policy announcements are from press reports. No position was opened and no returns are claimed.